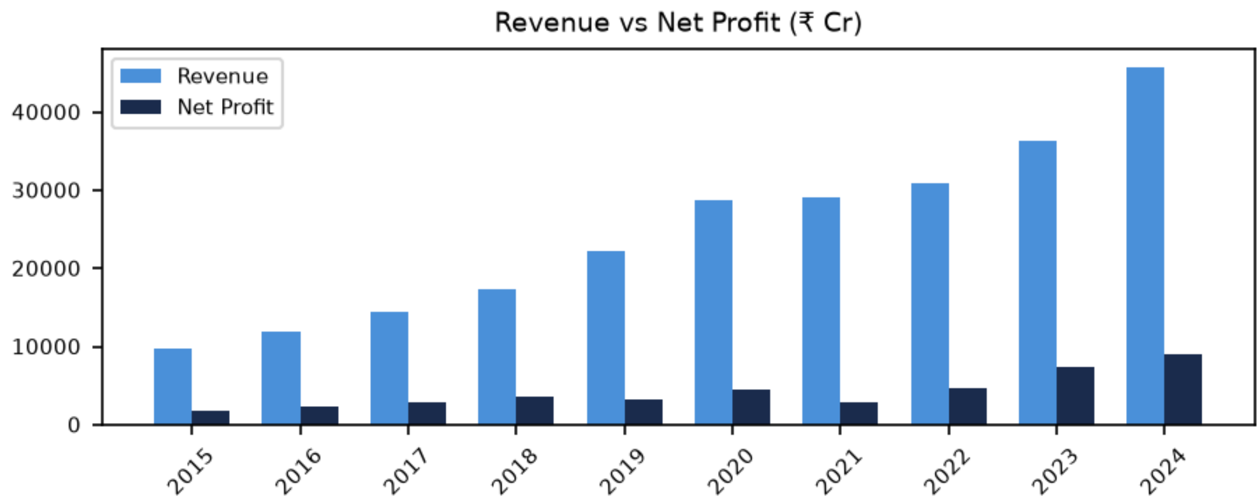
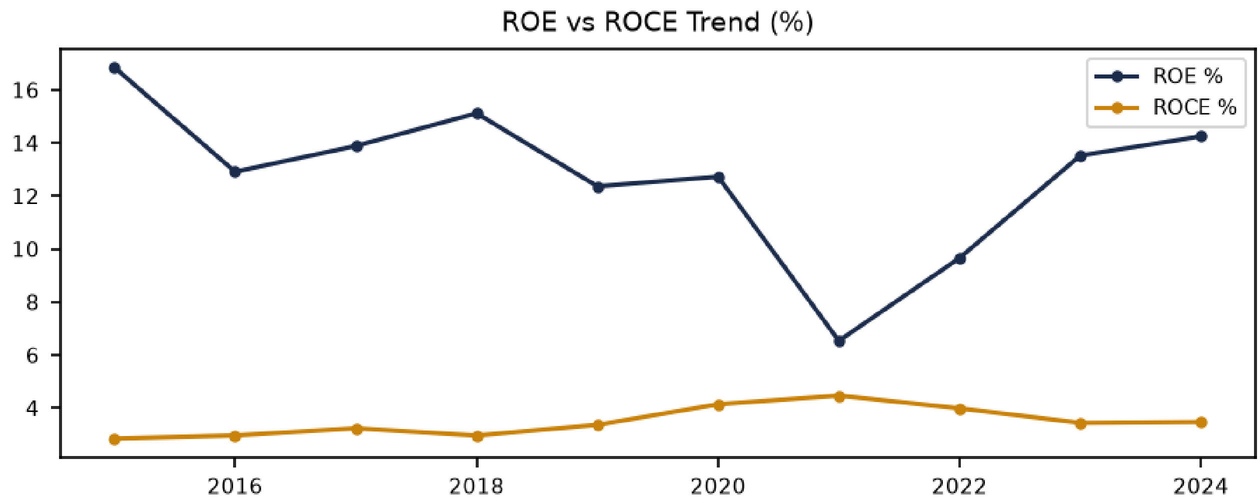
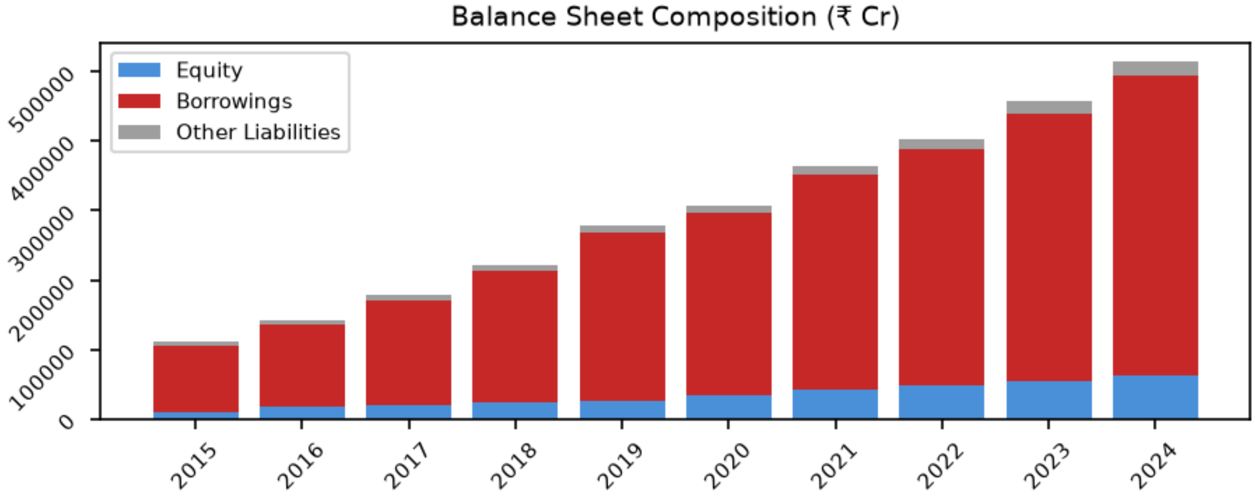
IndusInd Bank Ltd

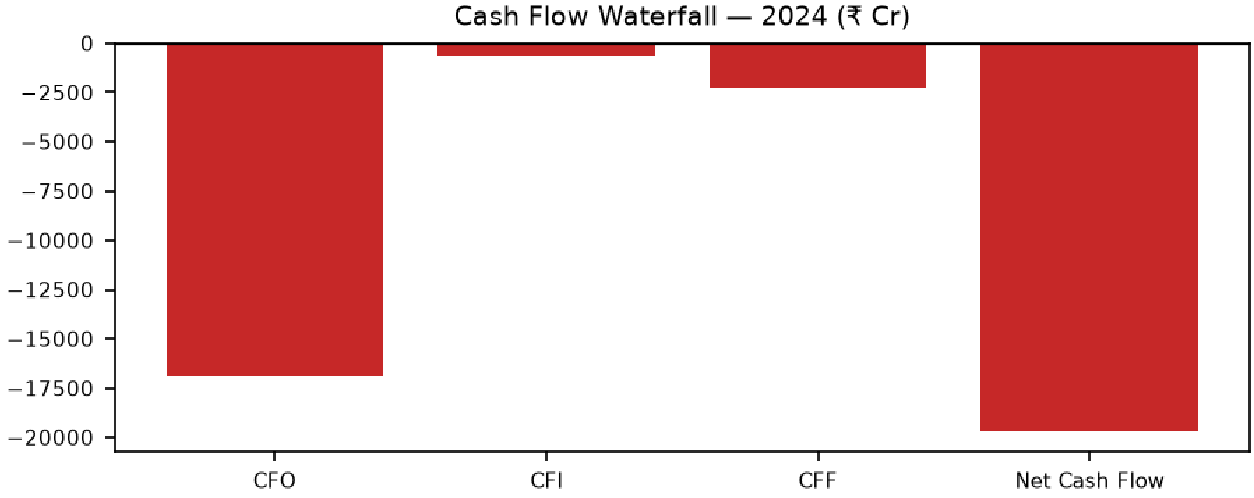
INDUSINDBK · Financials

ROE 14.3%	ROCE 3.5%	Net Profit Margin 19.6%
Debt-to-Equity 6.89	Revenue CAGR (5yr) 15.5%	Free Cash Flow ■-17,468 Cr









Pros

✓ Return on equity improving for 3 consecutive years shows strengthening business quality

✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

✓ Operating profit margin above 25% indicates strong pricing power and cost discipline

✓ Net profit compounding at above 20% over 5 years creates significant shareholder value

✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum

Cons

✗ Operating margins declining for 3 consecutive years suggest pricing or cost pressure

✗ Gross debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Cash Burn